Intelligence-led financial crime prevention: the power of data, insights and collaboration

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Central Bank of Malaysia (Bank Negara Malaysia), at the 16th International Conference on Financial Crime and Counter Terrorism Financing (IFCTF) 2026, Kuala Lumpur, 6 October 2026.

Let me begin by congratulating AICB, the Compliance Officer Networking Group and everyone involved in organising today's conference.

This year marks an important milestone in our fight against financial crime. It has been 25 years since Malaysia enacted the Anti-Money Laundering, Anti-Terrorism Financing, Anti-Restricted Activity Financing and Proceeds of Unlawful Activities Act 2001 (AMLA).

Over the past quarter century, we have transformed what began as a traditional AML framework into a comprehensive regime that combats all forms of financial crimes. This progress has been built on three foundations:

- First, stronger laws. This includes several rounds of AMLA amendments and enhancements to other key legislations. Together, these measures enhanced our ability to investigate, prosecute and recover illicit assets. They also strengthened transparency, reinforced accountability.
- Second, stronger institutions, anchored by a whole-of-nation approach. Over the years, Malaysia has established key platforms for coordination and intelligence sharing - including the National Anti-Financial Crime Centre (NFCC), National Scam Response Center (NSRC), Multi-Agency Task Force (MATF), the National Fraud Portal and MyFINet. Together, they strengthened our collective response to financial crime, reflecting our shared belief that no single institution can tackle these threats alone.
- Third, stronger understanding of risk and supervisory approach. Five comprehensive National ML/TF Risk Assessments, complemented by thematic assessments, have sharpened our understanding of threats and vulnerabilities. Regulation and supervision have also made significant progress. Today, with more than 27,000 financial and non-financial reporting institutions, supported by a robust framework and technology-enabled supervision - we are able to deliver effective and risk-appropriate oversight.

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More importantly, they have delivered tangible results. For example, in the first half of 2026 alone, the financial sector has prevented approximately RM1.9 billion in attempted fraudulent transactions, surpassing the RM1.2 billion prevented during the whole of 2025[1]. More than RM37 billion of assets have also been recovered in the past five years[2]. Prominent and complex financial crime cases were also investigated and prosecuted, including those involving multiple agencies.

These achievements are a testament to our whole-of-nation efforts. I express my deepest appreciation to all agencies, institutions and individuals who have contributed to this journey. Well done everyone.

Ladies and gentlemen,

Earlier this year, at the Sasana Symposium at Bank Negara Malaysia, I spoke about the Gelam tree. Some of you who were there will recall this. The Gelam tree, which grows along the East coast, thrives in harsh conditions because it continually sheds its bark, keeping itself in a constant state of renewal.

Over the past quarter century, we have strengthened the laws, institutions and partnerships. Yet the work is never complete. As criminals adapt, technologies evolve and risks become more complex, so too must our response.

Like the Gelam tree, our resilience will depend not on what we have achieved, but on our ability to continually renew and prepare ourselves for the challenges ahead.

Two forces, in particular, demand our attention.

First, financial crime is not immune to global fragmentation and uncertainties.

Geopolitical developments are reshaping the movement of money, goods and information. New payment channels, more seamless cross-border flows and evolving trade corridors create fertile grounds for illicit activities. As international cooperation becomes more complex and under greater strain, blind spots may emerge.

Thus, as emphasized by the FATF international standards, geopolitical developments should be incorporated into risk assessments and risk-based approaches. We must continuously reassess our exposures, strengthen existing measures, and remain vigilant

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Unfortunately, it is also changing how criminals finance and disguise their activities. Criminals no longer operate at the speed of people. They operate at the speed of technology.

Artificial Intelligence (AI) is a case in point. AI-generated content can now mimick voices and appearances with remarkable realism, making fraud increasingly difficult to detect. I am sure many of you have seen the deepfake video of me arguing with a guest on live TV. With AI, it is easier for criminals to socially engineer and manipulate victims. Today, about 95% of online fraud cases involve victims who are deceived into transferring funds themselves.

AI Agents can power fraud campaigns, identify vulnerabilities and amplify cyberattacks. INTERPOL estimates AI-enabled fraud to be 4.5 times more profitable than traditional methods[3], enabling criminals to operate faster, reach further and inflict greater harm.

These developments put us in an 'Arms Race' against criminals. So, as they automate deception, we must automate detection. As they exploit speed and scale, we must become more agile to identify, disrupt, and prevent illicit activities.

Ladies and gentlemen,

The conference theme today – 'Intelligence-Led Financial Crime Prevention: The Power of Data, Insights and Collaboration', points us towards the future.

Let's start with the Power of Data and Insights. In today's digital economy, every transaction leaves a trail of data. The challenge is no longer the availability of information, but our ability to transform them into actionable insights and intelligence.

At Bank Negara Malaysia, as the Financial Intelligence Unit of the country, data and insights are at the core of our work. From generating intelligence products, to facilitating data management, we continuously strengthen our processes and infrastructure that supports data-led intelligence.

Yet, there is more to be done. Around the world, technology and advanced analytics are being leveraged to strengthen fraud prevention. Malaysia is no exception. Since October 2025, the National Fraud Portal has piloted the analysis of payment network patterns to identify potential mule accounts. To date, PayNet has flagged more than 1,600 suspicious

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To support this shift, BNM has strengthened the foundations for technology risk management and fraud prevention. The revised *Risk Management in Technology* policy document strengthens financial institutions' resilience against technology-related risks, cyber risks and rapidly evolving digital crimes. Meanwhile, the recently issued *Financial Institutions' Response to Fraud* policy document further reinforces accountability for fraud risk management while promoting the responsible use of intelligence, analytics and technologies.

This is only the beginning. Building on these foundations, the banking industry and PayNet are working towards introducing industry-wide fraud alert capabilities that can warn banks and customers of potential risks before a transaction is completed. These alerts will prompt customers to pause, think and verify before proceeding. We recognise that this capability may introduce additional friction for customers. However, these measures are necessary to strike an appropriate balance between offering convenience and protecting customers from fraud, particularly authorised scams. Today, I am pleased to announce that a pilot testing involving selected banks is targeted for first half of 2027, ahead of wider implementation.

Ladies and gentlemen,

The future of fraud management cannot be built on detecting suspicious activity after the fact. We need to move from a reactive model to a predictive one, and ultimately to a preventive one. The greatest success is the fraud that never happens.

As today's theme suggests, no problem of this scale can be solved alone. For 25-years, AMLA has supported a whole-of-nation approach, bringing together the public and private sector stakeholders together to combat financial crime. Building on Malaysia's strength in domestic coordination, there are two areas where we can do even more.

The first is on information sharing. While public-private partnerships have delivered tangible results, there remains significant untapped potential in industry-led collaboration and private-private partnership. From the development of sector-driven guidance, to establishing shared infrastructure, stronger private sector cooperation can substantially enhance our ability to respond to emerging risks. Looking ahead, we should also move from ad-hoc information exchanges towards a more structured, transnational and technology-enabled partnerships. Underpinned by trust, sound governance structure, and secure information sharing mechanisms, the potential of both public-private and private-

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The second area is on international cooperation. From informal cooperation through the exchange of intelligence, to formal cooperation for investigation and prosecution, international cooperation is essential to building a complete picture of financial crime risks. Criminal networks know no borders, therefore we cannot be limited by national boundaries.

Ladies and gentlemen,

As we look ahead, allow me to leave you with four simple reminders drawn from the very Act, AMLA, that has guided us over the past quarter century:

A – Anticipate emerging threats, because yesterday's solution will not solve tomorrow's problems;

M – Monitor risks diligently, because awareness is the foundation of resilience;

L – Leverage technology responsibly, because innovation brings both opportunities and risks; and

A – Act together, because no institution, no sector and no country can confront financial crime alone.

When we look back on the next 25 years, I hope that we will not simply count the laws amended, policies introduced, or standards met. Rather, I hope we will be able to say:

- That we protected people from harm.
- That we safeguarded the integrity of our financial system.
- And that we left behind a stronger, safer and more resilient Malaysia than the one we inherited.

Because ultimately, the true measure of our success is not the compliance we achieve. It is the trust we preserve.

The best chapters of Malaysia's AML/CFT/CPF journey are still ahead of us. Let us write and shape them together.

▶ 3 Footnotes

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